

Restrictive Agreements Under Nigerian Competition Law: What Businesses Need to Know Before They Sign

Wholesome Legal House Insights | Reviewed and updated July 2026

Many commercial agreements that look entirely ordinary on their face — supply arrangements, distribution deals, joint marketing arrangements — can fall foul of Nigeria's competition rules if their purpose or effect is to prevent, restrict or distort competition. Since 2022, the FCCPC — exercising its rule-making powers under Sections 17, 18 and 163 of the FCCPA 2018 — has had Restrictive Agreements and Trade Practices Regulations addressing Part VIII and parts of Part XIV of the Act, giving businesses a fairly detailed roadmap for spotting the risk before it becomes a problem.

Two Ways an Agreement Can Be Restrictive

Section 59(1) of the FCCPA prohibits agreements or decisions that restrict competition, whether by purpose or by effect. Purpose-based restrictions are the more serious category: certain types of clause are treated as inherently anti-competitive, regardless of their actual market impact, once their anti-competitive purpose is established. Classic examples include price fixing, market or customer allocation, output limitation and collusive tendering between competitors (horizontal agreements), and — in vertical agreements between a supplier and a distributor — fixed or minimum resale price maintenance and clauses granting absolute territorial protection, including restrictions on passive sales.

Effects-based restrictions require a fuller analysis: does the agreement give the parties market power, and does it contribute to creating, maintaining or strengthening that power? The Commission will weigh the nature and content of the agreement, the parties' combined market position, and the legal and economic context, including how the agreement affects both inter-brand and intra-brand competition.

A handful of contractual features tend to raise flags regardless of which category an agreement falls into: exclusivity clauses that limit a party's freedom to deal with competitors; clauses requiring asset contributions that reduce a party's decision-making independence; provisions that create shared financial interests between competitors; clauses that require the disclosure of strategic information; and mechanisms that create commonality of costs, making coordinated pricing easier.

The Market Share Safe Harbours

Not every agreement between parties with some market presence is caught. The Regulations set out share thresholds below which an agreement is presumed not to appreciably restrict competition:

- 10% aggregate market share, for agreements between actual or potential competitors;
- 15% market share for each party, for agreements between non-competitors; and
- 5% for either category, where competition in the relevant market is already restricted by the cumulative effect of similar agreements entered into by different suppliers or distributors across the market.

These thresholds are a safe harbour, not an exemption from scrutiny — they do not apply at all to purpose-based restrictions, which are treated as unlawful regardless of the parties' market share.

The Efficiency Exemption

Section 60 of the Act allows the Commission to authorise an otherwise restrictive agreement where four cumulative conditions are met: the agreement must improve production or distribution, or promote technical or economic progress; consumers must receive a fair share of the resulting benefit under Section

60(a); the restriction must, under Section 60(b), be indispensable to achieving that benefit; and the agreement must not eliminate competition in respect of a substantial part of the relevant market. Parties wishing to rely on this exemption for a contemplated (not yet executed) agreement can apply to the Commission, which is required to respond within 30 business days.

Who Can Be Personally Liable

Where the Commission considers an agreement to be an unlawful restriction of competition, it must determine, under Section 67 of the Act, whether the administrative process under that section, or the criminal process under Sections 69, 107, 108 and 109, applies. Restrictive agreements therefore carry both administrative and criminal exposure. Corporate liability can reach a fine of up to 10% of the undertaking's turnover in the preceding business year; individuals face fines or imprisonment of up to five years, or both. Directors of a corporate offender can be personally proceeded against. Notably, "competitors" for this purpose extends to the directors, officers, employees and agents of competing companies — so an informal understanding reached between individual officers of two rival companies can itself constitute an unlawful agreement between competitors under Sections 59, 107 or 109, even without board-level sign-off.

A Few Open Questions in the Regulations

A handful of practical concerns are worth bearing in mind when advising on this framework, some of which the profession has raised with the Commission directly: the Regulations do not clearly require the Commission to weigh actual or potential market effects once a purpose-based restriction is alleged, which can leave limited room for an undertaking to be heard on the agreement's real-world impact before a conclusion is reached; the market-share thresholds can be a poor fit for large corporate groups operating through multiple subsidiaries, whose aggregated share may look larger than any single operating entity's actual market position; there is a reasonable argument that enforcement should not extend to agreements that remain in draft and have never been executed; the exemption application process under Section 60 is currently limited to contemplated agreements, leaving no clear route for parties to regularise a restrictive agreement already in operation on fair, adjusted terms; and the Regulations do not currently penalise malicious or frivolous complaints, which creates some scope for the process to be used tactically against a competitor.

The Practical Takeaway

Before finalising any agreement with a competitor, distributor, or supplier that includes exclusivity, pricing, or territorial provisions, it is worth running a quick market-share and purpose check against this framework — ideally at the drafting stage, since the exemption process is far more straightforward for agreements that haven't been signed yet.

A note on currency of the law

The Restrictive Agreements and Trade Practices Regulations were finalised in 2022, and the core tests, market-share safe harbours (10%/15%/5%), and efficiency exemption conditions described here are unchanged from that final version. The FCCPC also issued its Leniency Rules in 2022, giving parties to a restrictive agreement a route to apply for immunity or reduced sanctions in exchange for cooperation.

As with the abuse-of-dominance framework, the FCCPC issued exposure drafts of new Authorisation, Exemption and Guidance Regulations (Non-Merger Matters) 2026 in April 2026, which would revise aspects of the exemption and authorisation process for restrictive agreements. The consultation period closed in May 2026 and the draft was not yet final as at the time of writing.

This article is published by Wholesome Legal House for general information purposes only. It is not legal advice, and no solicitor-client relationship arises from reading it. The facts of any specific matter may alter the analysis. For advice on a particular situation, please contact us.